

worldwide crypto market is \$ 2.6 trillion, which is the same as India's gross domestic product (GDP) for the entire year of 2020, which was \$ 2.6 trillion.

Innovative use cases are continually identified, apps are created, and organisations continue to employ them for making payments. Even though it is an uncontrolled industry, lakhs of investors are flocking to it.

Much of this rise occurred in the previous year when investors were trying to diversify their investments in the face of the COVID-19 epidemic. That is also true for India. WazirX, ZebPay, Binance, and other Indian crypto exchanges observed an increase in users, not just from the larger cities but also from Tier-II and Tier-III cities.

What is a cryptocurrency?

Cryptocurrency, similar to other fiat currencies such as Rupee, is a type of payment mode that the person may use to buy and sell products, services, and other items. It is completely decentralised unlike the Rupee. Moreover, its main objective is to serve as a digital monetary system that is not controlled by a single entity.

Cryptocurrency is a word that combines 'encryption' with 'currency'. To put it another way, Bitcoin (a renowned cryptocurrency) relies heavily on cryptographic techniques to safeguard transactions. It is built on the basic Blockchain concept, a tech which is actually not as young as you may think.

A blockchain is a digital ledger that stores data in packets known as "blocks" linked together in a chain. A blockchain's ledger is decentralised and built on peer-to-peer technology, whereas a bank's ledger is centralised. This sequence of blocks can't be modified or updated, which makes the ledger incredibly secure and eliminates the need for a central clearing authority.

Bitcoin is a typical example of a cryptocurrency created primarily for the purpose of being used as money. However, modern blockchains, like Ethereum, enable developers to run smart contracts (code) on a decentralised network.

How is it created?

Bitcoin, the first cryptocurrency, was launched in 2009 and is still the most well-known. Units of a cryptocurrency are made through a process called mining. It entails the execution of complicated mathematical procedures to generate a virtual coin. The mechanism is chosen to control the supply of coins over time, preventing hyperinflation. However, each cryptocurrency has its unique model of mining, distribution, and economic principles.